

SENATE RULES COMMITTEE

SB 890

Office of Senate Floor Analyses

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THIRD READING

Bill No: SB 890

Author: Leno (D)

Amended: 5/27/11

Vote: 21

SENATE JUDICIARY COMMITTEE: 3-2, 5/10/11

AYES: Evans, Corbett, Leno

NOES: Harman, Blakeslee

SUBJECT: Fair Debt Buyers Practices Act

SOURCE: Attorney General Kamala Harris

DIGEST: This bill, the Fair Debt Buyers Practices Act, imposes various restrictions on debt buyers who seek to take steps to collect purchased debt, including (1) prohibiting the collection of a debt without valid documentation; (2) requiring a debt buyer who receives payment to provide a receipt; (3) prohibiting suit or other action to collect a consumer debt if the statute of limitations has expired; (4) requiring specified documentation of the debt to be attached to a complaint; and (5) requiring a dismissal of the action, with prejudice, if a debt buyer seeks a default judgment without complying with specified requirements.

Senate Floor Amendments of 5/27/11 (1) clarify the documentation requirements, provide the debt buyer with greater time to respond to requests for that documentation, and require the debt buyer to provide a specified disclosure in a communication regarding time barred debt; (2) require settlement agreements to be in writing, clarify the required contents of a debt buyer's complaint, permit a court to dismiss an action with or without prejudice if a debt buyer seeking a default judgment does not comply with specified requirements, and require a court to determine that the statute of

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limitations has not expired prior to entering judgment, as specified; (3) reduce the allowable damages from \$5,000 to \$2,000 per violation, specify the additional permitted recovery for class actions, and permit a prevailing debt buyer to recover attorney's fees if an action was brought in bad faith for the purpose of harassment; (4) revise the requirement that judgment be entered for the debtor if debt buyer is not prepared to proceed for trial by, instead, permitting the court, in its discretion, to dismiss the action with or without prejudice, as specified; and (5) make other technical, clarifying changes.

ANALYSIS: Existing state and federal law regulate the practice of debt collection. Existing state law prohibits a debt collector from engaging in specified conduct, including the use of threats or causing a telephone to ring repeatedly to annoy the person called. Existing law prohibits a debt collector from obtaining an affirmation from a debtor of a consumer debt that has been discharged in bankruptcy, without clearly and conspicuously disclosing to the debtor, in writing, the fact that the debtor is not legally obligated to make such affirmation.

This bill enacts the Fair Debt Buyers Practices Act, which regulates the activities of a person or entity that has bought consumer debt and the circumstances in which the person may bring suit. This bill prohibits a "debt buyer", as defined, from making any written statement in an attempt to collect a consumer debt unless the debt buyer has valid evidence in the form of business records that the debt buyer is the sole owner of the specific debt at issue, the amount of the debt, and the name of the creditor at the time the debt was charged off, among other things. This bill requires the debt buyer to make this evidence available to the debtor, without charge, upon receipt of a request, within 15 days. This bill prohibits a debt buyer from communicating with a debtor in writing without providing a specified notice. This bill requires all settlement agreements between a debt buyer and a debtor to be in writing and requires a debt buyer who receives a payment on a debt to provide a receipt or statement containing certain information. This bill prohibits a debt buyer from initiating a suit to collect a debt if the statute of limitations on the cause of action has expired. This bill prescribes penalties for a violation of the act and provides that its provisions may not be waived. This bill requires a debt buyer bringing an action on consumer debt to include certain information in his or her complaint. This bill prohibits an entry of judgment in favor of a plaintiff debt buyer unless properly authenticated business records relating to the debt and ownership of it, among other things, are properly in evidence, and would permit a court to

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dismiss a debt buyer's action to collect with prejudice if this information is not provided or if the debt buyer fails to appear or is not prepared on the date scheduled for trial.

Existing law establishes a process for the enforcement of money judgments and requires a levying officer to provide certain documents and information to a judgment debtor and to a designated employer in connection with wage garnishment. Existing law permits a process server also to serve an earnings withholding order on an employer and requires that the process server also serve certain documents at this time. Existing law requires an employer who is served with an earnings withholding order to provide certain documents to an employee who is a judgment debtor.

This bill requires, in the circumstances described above, that a copy of the form that the judgment debtor may use to make a claim of exemption and a copy of the form used to provide a financial statement also be provided.

As used in this bill, “debt buyer” means a person or entity that regularly purchases charged-off consumer loans or consumer credit accounts, or other delinquent consumer debt. “Debt buyer” includes a person acting on behalf of a debt buyer.

This bill provides that its provisions are severable. If any provision of this section or its application is held invalid, that invalidity shall not affect other provisions or applications that can be given effect without the invalid provision or application.

Background

Debt buyers are companies that purchase delinquent or charged-off debts from a creditor for a certain fraction of the face value of the debt. Those companies have become subject to increased scrutiny due to numerous complaints on behalf of consumers. Last July, the Federal Trade Commission (FTC) issued a report examining debt collection litigation and arbitration proceedings that concluded the “system for resolving consumer debt collection disputes is broken” and recommended significant reforms. The FTC further noted that: “The report finds very few consumers defend or otherwise participate in debt collection litigation. The Commission therefore recommends state and local governments consider making a variety of reforms to service of process, pleading, and court rules and

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practices to increase the ability of consumers to defend or otherwise participate in debt collection litigation. The report also finds complaints and attachments in debt collection cases often do not provide adequate information for consumers to answer complaints or for judges to rule on motions for default judgment. The FTC therefore recommends that courts more rigorously apply existing rules to require that collectors provide adequate information and that jurisdictions consider adopting rules mandating the information which must be included in or attached to the complaint. The report additionally finds that state statutes of limitations on filing actions to recover on debt are sometimes variable and complex, and generally not understood by consumers. The Commission suggests that states consider modifying their laws to make it simpler to determine the applicable statute of limitations, and to require that collectors provide consumers with important information about their legal rights when collecting debt they know or should know is time-barred.”

FISCAL EFFECT: Appropriation: No Fiscal Com.: No Local: No

SUPPORT: (Verified 5/31/11)

Attorney General Kamala Harris (source)
 Alexander Community Law Center
 American Federation of State, County and Municipal Employees
 California Reinvestment Coalition
 Consumer Federation of California
 Consumers Union
 East Bay Community Law Center
 Housing and Economic Rights Advocates
 Lawyers’ Committee for Civil Rights of the San Francisco Bay Area
 Professor Scott Maurer, Santa Clara University School of Law
 Public Counsel Law Center of Los Angeles
 Public Law Center of Orange County
 Service Employees International Union

OPPOSITION: (Verified 5/31/11)

California Association of Collectors
 California Creditors Bar Association
 DBA International

ARGUMENTS IN SUPPORT: The author states:

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“According to the Federal Trade Commission, [t]he system for resolving disputes about consumer debts is broken, and has urged states to pass legislation to provide adequate protection for consumers. The system is broken because courts have been swamped with debt collection law suits driven by the growth of an industry that buys and sells bundled portfolios of consumer debt, and misuses the courts to leverage their collection efforts.

“The industry’s practices echo the scandal surrounding the processing of delinquent mortgages. Here, debt buyers use ‘robo signers’ who sign affidavits averring that they have reviewed and verified debtors’ records, when they have only reviewed basic, and often incomplete, account statements records or spreadsheets on a computer screen. Moreover, because consumer debt is being bought and sold so frequently, and over a period of years, companies are frequently pursuing the wrong person, or the filing claims that have no lawful basis.

“Frequently, these debt collection actions are filed by debt buyers without proof that the debt ever existed. Yet actions proceed to judgment because ninety-five percent of consumers do not respond to these lawsuits—many because they do not receive notice—allowing the debt collector to take a default judgment against the consumer and levy against the consumer’s personnel accounts.

The author maintains that this bill, “The Fair Debt Buyers Act[,] would reform the debt collection litigation process in a number of ways to aid consumers and unburden the courts from costly, unmeritorious litigation.”

ARGUMENTS IN OPPOSITION: The California Association of Collectors (CAC) contends that this bill “confuses and blends the concepts of debt verification and prove-up hearings. Debt verification is the requirement on behalf of the debt owner or collector to demonstrate that the debt is owed by the consumer. Conversely, to obtain a judgment at trial or prove-up hearing, the plaintiff must produce admissible evidence satisfactory to the court that judgment is property against the named defendants.”

The CAC further contends that debtors have the existing right to make an offer to compromise, and to seek damages for frivolous lawsuits, and to sue for malicious prosecution.

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DBA International contends that the bill “sets unprecedented obligations on the entire collection industry in the judicial system, proposes requirements which go beyond what is required or even available by the original creditors, and generally, creates more ambiguity than solves perceived problems.”

DBA ... notes that ownership is established for most purchases by a Bill of Sale and argues that (1) the bill would eviscerate a judge’s right to evaluate the trustworthiness of the evidence before them; (2) the itemization requirement is not even imposed upon originating banks by federal law; (3) the bill approaches the problem from the wrong perspective since it is the original creditor that has the information; (4) the FDCPA already imposes requirements on debt collectors; and (5) the bill will cause unnecessary filings of excess documents.

The California Creditors Bar Association expresses concern that the bill proposes “extensive regulations for only one type of debt ownership,” would flip the burden of proof regarding the statute of limitations, “imposes wildly unreasonable requirements for documentation,” and contends that the liability imposed would be punitive.

RJG:mw 5/31/11 Senate Floor Analyses

SUPPORT/OPPOSITION: SEE ABOVE

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